and became India's premier defence electronics company and it grew to be so in the 1960s. Hindustan Aeronautics Limited was formed on 1 October 1964, having grown out of Hindustan Aircraft, a company established in 1940. What has today become 'India's Silicon Valley' began as a centre for the development of advanced defence material.

While the mainstream Indian economy was growing at an almost painfully slow rate in the 1960s and 1970s, the new friendship with the Soviet Union enabled the country to maintain a fairly advanced defence establishment. In August 1971, India and the Soviet Union concluded a Treaty for Peace, Friendship, and Cooperation, signed by India's minister of External Affairs, Swaran Singh, and his Soviet counterpart Andrei Gromyko. The Communist Soviet Union succeeded where imperial Russia had failed: to expand its sphere of influence down to the Indian subcontinent.

But there was a problem. In line with other socialist and some developing countries, India received from the Soviet Union preferential payment terms and could exchange Indian-made goods for military equipment and components. At the same time, defence analysts argue that 'the oversupply of Soviet equipment reduced India's incentive to develop its own weapons or seek other sources, alienating Western suppliers. India was prevented from selling its Soviet-originating but Indian-made arms on the international market, thus depriving India of a valuable source of military revenue.'[57]

It was not hard for India to come to the conclusion that the Soviet Union was an unreliable ally, thus strengthening the country's determination to develop its own armaments, including weapons of mass destruction. India's nuclear industry was actually not new. Research into using nuclear power for peaceful purposes began at the Tata Institute of Fundamental Research as early as 1944 under the renowned scientists Homi Jehangir Bhabha and Raja Ramanna. But it was not until after the 1962 War that the research was turned to the development of India's military arsenal. With plutonium produced in a reactor supplied by Canada, India managed to produce a nuclear device, which was tested on 18 May 1974 at the Pokhran Test Range in Rajasthan. It was supposed to be a 'peaceful nuclear explosion', but there was now no doubt that India too, 10 years after China's first test, possessed a nuclear weapons capability.